

of discipline to the Adani Group stocks as shares of some of the group companies were highly valued.”

THERE IS NO denying the fact that the top brass of the Gujarat-headquartered conglomerate will have to go back to the drawing board and review every single aspect of its growth strategy. “Adani Group’s calling off of its fully-subscribed FPO has left more questions unanswered. One question that is awaiting clarity is how the group intends to meet the objectives as stated in the prospectus of the FPO,” says Sumit Agrawal, Managing Partner of Regstreet Law Advisors and a former legal officer of Sebi. Among other things, the aim of the ₹20,000-crore FPO was to repay debt amounting to ₹4,165 crore and fund capex for businesses related to green hydrogen, airports and roads to the tune of ₹10,869 crore.

32 | A top executive close to the group says there is no question of defaults on debt for the next three to five years. “The operating businesses generate high levels of cash, and are in a good position to service debt,” he says. This is exactly what the group seems to be telling the markets—that its business model has been centred on predictable cash flows from existing businesses. “For a group of this size, the debt that it has is not a big amount especially when you see that all businesses are asset-based and are appreciating in value. They also have cash flows to support that quantum of debt,” says J.N. Gupta, Founder & MD of Stakeholder Empowerment Services, a proxy advisory firm.

Gupta, however, believes that while the group does not face any inter-dependence risks in terms of cross-holdings, inter-company guarantees or loans, one could say that there is a “management bandwidth” issue that the group should look at resolving. “The financial health of one company

will not impact any other group company. On management bandwidth, one can say Gautam Adani and his family members are involved in all companies of the group. Though there could be an issue here, each company is headed by a professional CEO,” says Gupta, a former ED of Sebi.

The financial health of the group may not be an immediate concern, but that is not stopping investors from questioning the management on its strategy. In an interview to BT TV, LIC Chairman M.R. Kumar said that while the insurance behemoth has not reduced its exposure in the Adani Group (less than 1 per cent of its

compared to a loss of ₹12 crore in Q3FY22. Other group companies’ Q3FY23 results have been mixed. Adani Ports & SEZ recorded consolidated revenue growth of 17 per cent, but profits fell 16 per cent. Adani Power’s revenues rose 45 per cent, but net profit plunged 95 per cent. And Adani Green’s revenues grew 53 per cent, and profits also doubled. Still, the companies’ shares are on brittle ground, and it will take a while for things to return to normal.

So, let’s get back to our original question: Will Gautam Adani survive Hindenburg?

The market’s general assessment is that he will, but the

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CRORE GROSS DEBT OF ADANI GROUP COMPANIES

total assets under management adding up to around ₹36,000 crore) after the Hindenburg report, it wants the embattled conglomerate to “throw some light on what is happening in the market”. “We will be calling them [the Adani Group management] sometime just to know the business profile and what they are planning to do and how are they planning to manage the whole thing,” said Kumar while adding that the investment was “just a drop in the ocean”.

A point to note here is that Adani Enterprises’ Q3FY23 results have been outstanding—consolidated total income growth of 42 per cent, Ebitda growth of 101 per cent, and profit of ₹820 crore

bruise will last long and need special treatment. For one, Adani will need to get realistic about his ambitions—he has reportedly halved the growth target to 15-20 per cent for FY24 and might hold back on fresh capex for some time. For another, the markets will have to pare expectations around the valuations of Adani stocks in the days ahead. And for yet another, lenders and regulators too have to draw lessons from this saga to strengthen lending, surveillance and corporate governance practices.

The cat appears not to have exhausted his nine lives. Not yet. **BT**

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